

after the pandemic,” he says. “The organised players will dominate the home markets, venture into Tier II markets, and participate in the entire continuum of care.”

Further, as the growing needs of longevity are bringing new opportunities and challenges—leading to a growing demand for healthcare across markets and age demographics—companies like Temasek are seeing this play out in India. “This trend is underpinned by changing consumption patterns, like the growing middle-income population and increased demand for clinical excellence and specialties, enabled by technological advances. The pandemic has also exacerbated this shift by spotlighting the importance of quality healthcare,” says Lambah.

According to AltG, a financial services firm, the Indian hospital sector is on the brink of a momentous expansion. “The KKR-Max deal is a testament to the success of the hospital roll-up playbook. The Temasek-Manipal deal has further bolstered its potential,” said Poornima Vardhan and Taponeel Mukherjee, Principals at AltG, in an emailed response. They add that the trend towards single-specialty hospitals is also gaining momentum, citing Temasek’s investment of ₹1,050 crore in the eye-care chain, Dr Agarwal’s, in May 2022.

The current supply of quality hospital beds in metropolitan areas stands at just 0.6 per 1,000 individuals, says AltG. Given the anticipated growth of India’s urban population from 483 million in 2020 to 675 million in 2035, an estimated 120,000 more hospital beds will be needed. Considering the average earnings per bed for a hospital chain at ₹5.8 lakh a year, total annual revenues from these additional beds are estimated to be ₹6,992 crore (or around \$0.85 billion). The present sector price-to-earnings ratio (P/E) of around 65, therefore, indicates an additional



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RAVI LAMBAH
HEAD OF INVESTMENT
GROUP AND HEAD-INDIA,
TEMASEK



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RANJAN PAI
CHAIRMAN, MANIPAL
EDUCATION AND
MEDICAL GROUP

market capitalisation of \$55 billion for the hospital sector in this segment in the next few years, per AltG.

MANIPAL AND MORE

For hospitals to grow, it will require funds. “A lot of capital is needed in private healthcare in India, which comes in the form of either investments or from large conglomerates or from PE funds. Thus, private equity money is critical for fuelling faster growth of the industry,” says Ranjan Pai, Chairman of Manipal Education and Medical Group. He adds that for Manipal Health Enterprises, there will be no change in the management structure after the Temasek deal, with the promoters being as involved as earlier. “We will continue to invest in the platform each time funding requirements come up. Although Temasek has a larger stake, it will be a consensus-run company,” he says. Pai has big plans for Manipal. The Board has approved its growth plan for the next five years. The chain will launch two greenfield hospitals in Bengaluru and Raipur, adding another 1,100 beds in the next 18-36 months. Plus, it expects to add another 2,500 beds over the next three years via the inorganic route, adds Pai. Similarly, Fortis Healthcare, another major hospital chain, is planning to expand. Besides brownfield expansion, CEO Ashutosh Raghuvanshi says Fortis plans to add 1,400 beds at its existing hospitals and may also look at acquisitions.

All this is music to Temasek’s ears. “We are open to participating in strategic M&A deals if the right opportunities arise. We’ll continue to seek opportunities that are aligned with our structural trends, and conduct bottom-up intrinsic value analysis for each investment we make,” says Lambah, who has his chequebook ready. **BT**

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